

losses; you just need to make sure that your losses are smaller than your wins.

At one time, I experimented with hiring traders to work for me. I had a trader who when he got stopped out of some positions in the morning would say, “My whole day is ruined.” I would reply, “What do you mean your day is ruined? You have all this opportunity sitting in front of you. The market doesn’t care if you lost money on a trade. It doesn’t matter. Think about your next trade. You have to get past the idea that just because you lost money on a trade, it means you failed. Every trading decision you make is subject to some randomness. It doesn’t matter whether you win or lose on any individual trade, as long as you get the process correct.”

What other advice do you give to friends who are aspiring traders?

You need incredible dedication. Trading is not a hobby. Treat trading like a business. Keep a journal of your trades. If you make a mistake in the markets, write it down.

About nine months later, I contacted Ramsey with a few follow-up questions.

Can you give me an actual example that illustrates your trade selection process?

The starting point is always some fundamental premise. Many investors viewed QE2 as “money printing”—a widespread perception that encouraged a shift of dollars into alternative assets including other currencies, gold, and equities.⁶ I actually didn’t share this view; I thought QE2 was nothing more than the Fed swapping a noninterest-bearing asset (cash) for an interest-bearing asset (a note or a bond) with the private sector. But my own views were irrelevant; it was the market perception that mattered. My expectation was that once QE2 ended, the shift of assets out of the dollar would also stop, and the dollar would recover.

Okay, so I thought the dollar should rally after QE2, but against what? I monitor at least 20 currencies against the dollar. I wanted to sell the first currency that weakened. If you think about it, under this condition of alleged “money printing,” anything that can’t rally against the dollar is really a bearish currency! The weak link turned out to be the Turkish lira,